As the PIGS (Portugal, Ireland, Greece and Spain) in the eurozone were struggling with sovereign debt sustainability issues in 2010 and 2011, a common conditionality imposed on them by the IMF-led bailout programmes was fiscal austerity—drastic reduction in public spending in order to bring government's books of account into balance. There was recognition that this might hurt growth but the understanding was that the negative impact on growth would only be in the short-term. In the medium term, the argument went, growth would pick up since the austerity programme would enable more efficient private investment to replace the less efficient government spending.

Then, in 2012, the IMF came out with an influential and somewhat controversial study, showing that the fiscal multipliers in the eurozone countries were indeed higher than originally projected, implying that the negative growth impact of the fiscal austerity imposed on PIGS would be higher than the figures built into the bailout programmes. In plain English, this was a plea for softening the fiscal austerity conditionality so as to reduce the hardship on the public.

Some senior officials in the ministry of finance caught on to the new IMF research and argued that like in the eurozone, in India too, the adverse consequences of fiscal deficits were being exaggerated and that the Reserve Bank was being misguided in taking a negative view on the government's fiscal adjustment path.

I was dismayed by this effort to extend the eurozone arguments to India without reckoning with India's altogether different macro parameters. Our fiscal adjustment road map was by no means aggressive; besides, the IMF research applied to countries with a demand recession and a negative output gap, certainly not to a country like India where a cocktail of sizzling demand and strained capacity was stoking inflation pressures. My standard response to the ministry of finance was that whereas the debate in Europe could be *fiscal austerity versus growth*, for us in India, it has been and will continue to be *fiscal austerity for growth.*

My discussion of the differences with the government on fiscal issues will not be complete without a reference to the fiscal dominance of